Stagflation

Q4 GDP 0.7%. Core PCE 3.1%. War goes regional—Iran hits UAE, Kuwait, Baghdad. Ceasefire rejected.

MARKETS

STAGFLATION IS NO LONGER A HYPOTHETICAL. Friday's double data release made it official. Q4 GDP was revised down to 0.7% annualized—sharply below earlier estimates and the weakest quarter since 2022. Core PCE printed 3.1% YoY with a 0.4% monthly pace, well above the Fed's comfort zone. Growth decelerating while inflation remains sticky. The stagflation scenario that markets dismissed six weeks ago is now embedded in the data, and it doesn't yet include the oil shock.

Markets tried to rally. Dow opened up 300 points on PCE relief—headline came in at 2.8%, a tick below estimates. But by afternoon, Kharg Island headlines overwhelmed the bid. S&P –0.61% to 6,632 (SPY $662.31). Nasdaq –0.93%. For the week: S&P –1.6%, Dow –2%, Nasdaq –1.3%—the first three-week losing streak in about a year. Every attempted rally this month has been sold. The buyers aren't gone, but they can't hold anything overnight.

Adobe was the earnings signal: –8.5% Friday despite a beat, punished for cautious subscription guidance and CEO Narayen's departure after 18 years. Ulta –8% on weak forward outlook despite solid numbers. The pattern is clear—companies beating estimates but getting destroyed for cautious outlooks. The market is paying for certainty and selling ambiguity. Consumer sentiment (UMich 55.5, –1.9% from February) confirms the mood.

The gold trade broke down. GFI –10.60%, AEM –4.89%. GLD –1.29%, SLV –4.93%. Precious metals typically rally in geopolitical crises, but dollar strength and rising real rate expectations are overwhelming the safe-haven bid. The safe haven rotation has moved decisively to energy and utilities—not gold. Utilities led all sectors Friday (XLU +1.01%), followed by staples (+0.61%) and energy (+0.37%). Tech –0.74%, materials –0.97%.

IOWN Tactical: Q4 GDP at 0.7%. Core PCE at 3.1%. The Fed is boxed in—inflation above target, growth stalling, and an energy war they can't control. Wednesday's dot plot will tell us whether they acknowledge the trap or pretend it doesn't exist. Think Like an Owner.

GEOPOLITICS

THE WAR WENT REGIONAL OVER THE WEEKEND. Saturday brought the broadest escalation since the conflict began. Iran launched 9 ballistic missiles and 33 drones at the UAE. Debris from an intercepted drone hit the Fujairah oil port, suspending some loading operations. Drones struck a US air base in Kuwait, injuring three service members. The US Embassy compound in Baghdad took a direct hit. Iran's IRGC declared UAE ports—Jebel Ali, Khalifa, Fujairah—legitimate targets. This is no longer bilateral. It's a regional war touching six countries.

Trump's response was a naval coalition gambit—calling on China, France, Japan, South Korea, and the UK to send warships to keep Hormuz open. Neither Beijing nor London confirmed. Iran's IRGC navy chief fired back: the Strait is not militarily closed, merely under control. The framing is deliberate. Iran is selectively allowing Indian, Turkish, and some Chinese vessels through while blocking Western-allied shipping. This is economic warfare with surgical precision, not a blanket blockade—and it's creating an alternative trade architecture in real-time.

Reuters reported Saturday that Trump rejected efforts to launch ceasefire talks. He's betting on military pressure to force unconditional surrender. Iran's foreign minister said Tehran will target any regional energy infrastructure belonging to American companies if its own oil facilities are struck. 5,000 additional Marines deploying to the region. The USS Nimitz's decommissioning was postponed indefinitely. The off-ramp that could produce a violent equity rally exists—but neither side is taking it.

The casualty count is mounting: 1,444+ Iranian dead per the Red Crescent. 13 US service members killed in action plus 6 in a refueling plane crash over western Iraq. At least 773 killed in Lebanon, deaths reported in Kuwait, Saudi Arabia, Bahrain, UAE, and Iraq. Gas nationally at $3.68, up 23% since the war began. France is ready to facilitate Israel–Lebanon ceasefire talks in Paris, but the core US–Iran conflict has no diplomatic channel.

ON OUR RADAR

1. **Sunday night futures will price Fujairah.** Some oil-loading operations at the UAE's Arabian Sea bypass port were suspended after the drone strike. If they remain offline, Brent gaps to $110+. If operations resume, the market may hold $103. Either way, the weekend escalation to six countries changes the risk premium embedded in every asset class.

2. **GTC is a binary event for our semi sleeve.** Jensen Huang keynotes at 11 AM PT from the SAP Center. Expectations: Groq-powered inference chip, Vera Rubin architecture details, NemoClaw AI agent platform, and an ARM-based laptop CPU. If Huang delivers a demand narrative strong enough to decouple semis

from oil—think $700B annual capex cycle framing—our names could bounce 5–10% this week. If GTC underwhelms, the oil narrative wins and semis test new lows.

3. Wednesday's dot plot is the real FOMC event. This is the first projection set incorporating both the Iran war and the 15% global tariff. If the median dot shifts to zero cuts for 2026, equities reprice immediately. If it holds at one–two cuts with dovish growth language, relief rally. Watch for supply shock or transitory in Powell's presser—that's the tell.

4. MARA led our portfolio Friday at +6.51%. BKH +2.59%, CNX +2.53%, ATAT +1.76%, CL +1.03%. A crypto miner, a utility, and a gas producer—three completely different businesses unified by the physical world matters thesis. IBIT +1.08% while equities fell. The diversification case is making itself.

5. Iran's selective Hormuz policy is a de-dollarization play. Allowing Indian, Turkish, and Chinese ships through while blocking Western-allied traffic isn't just economic warfare—it's building an alternative trade architecture in real-time. If this persists, the post-war energy order looks fundamentally different. Structurally bullish for US energy independence names (CNX, OKE, VLO). Avoid Erosion.

6. The binary outcome window narrows this week. Trump rejected ceasefire talks and issued the Kharg oil ultimatum. Iran is retaliating across six countries. The middle ground of $100+ oil with a controlled standoff is collapsing. Either a framework materializes—oil drops $20–30, equities explode higher—or the escalation spiral continues and the 200DMA finally breaks. GTC Monday, FOMC Wednesday, war every day. Research Reveals Opportunities.

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